

Asian Paints Indian Multi-National Paint and Coating
Manufacturing Company

ASIANPAINT · Materials / Paints & Coatings

ROE

29.68%

ROCE

35.62%

Net Profit Margin

15.66%

D/E

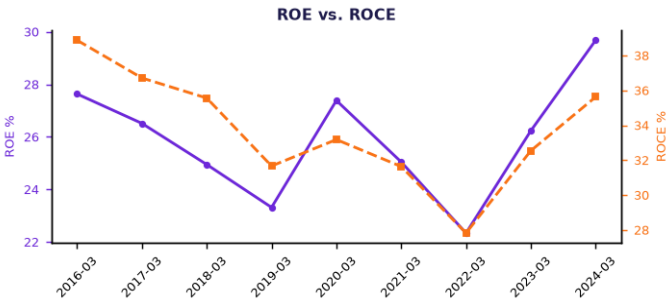
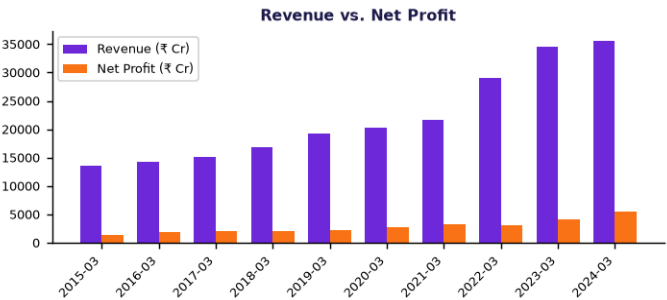
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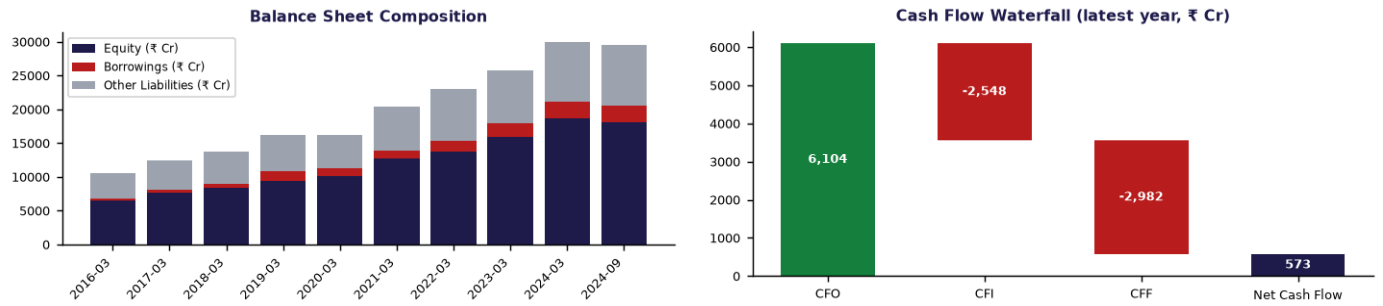
Revenue CAGR 5yr

13.03%

FCF (Rs. Cr)

3,556





Pros

- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality (89% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (89% confidence)
- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals (80% confidence)
- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency (76% confidence)

Cons

- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (65% confidence)
- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (61% confidence)

Capital Allocation Pattern: **Reinvestor**